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Chapter 18: Calibration of Compensation Systems in Finance—A China-US Comparison of Meta-Audit

Abstract

The governance predicament of the financial system centers on four interrelated asymmetry problems, of which compensation convexity and the revolving door's erosion of audit independence are the two aspects that most directly affect whether meta-audit capacity (A) can be institutionally maintained. Using the Fiber Framework and the Macro-Cognitive Accounting Framework (MCAF) as a unified diagnostic language, this chapter systematically compares financial compensation systems and revolving-door regulation in China and the United States. At the level of fiber structure, asymmetric compensation contracts compress multidimensional risk states into a one-dimensional signal, causing the fiber ($\pi^{-1}(r)$) to inflate at the very first step of the mapping chain: the same profit reading is compatible with two radically different true states, prudent risk-taking and extreme tail risk. When performance evaluation does not adequately cover risk consequences, convex incentives may reinforce the pursuit of visible gains; profits, rankings, and risk readings may in turn be accepted as proofs of reliability beyond their evidentiary range; and the self-reference of risk models further amplifies systemic bias. At the level of institutional response, from 2010 to 2026 China moved from the principle-based parameters of regulatory guidelines, through mechanism refinement and extension across the industry, to full coverage of deferral rules in the securities industry. Compensation deferral, the T+2 commencement rule, lengthens the period over which decision-makers bear the consequences of risk; compensation caps directly compress the space

within which narrative load (ϕ) can inflate; and the revolving-door equity-stake ban periods have been extended in tiers (up to 10 years), with close relatives brought into strict review. In the United States, Section 956 of the Dodd-Frank Act was written into law in 2010 but remains not fully implemented to this day; organized lobbying by industry associations constitutes a persistent institutional obstacle; and the revolving door has formed a persistent cross-sector career channel. The comparative analysis yields three interrelated core insights: within China's regulatory system there may exist an independent calibration source that does not rely on the cooperation of the regulated entities (a candidate explanation; see §6.2); the short debt clock and high concentration of China's financial system provide structural momentum for preventive tightening, a motivational condition; and together these two conditions help explain a trajectory of "continuous tightening" in China, whereas the United States exhibits a trajectory of "swinging with the political cycle." Meta-audit at the institutional level is necessary but not sufficient: compensation deferral cannot automatically reveal the quality of underlying assets; revolving-door restrictions cannot eliminate cultural convergence; and while compensation caps compress narrative load, they may also make the government a new endorser of legitimacy.

Keywords

compensation convexity, fiber inflation, meta-audit capacity (A), legitimacy base ($\|L\|$), narrative load (ϕ), clawback, revolving door, Dodd-Frank Section 956, independent calibration source, debt clock (τ_d)

§0 Introduction: From Diagnosis to Calibration

The governance predicament of the financial system centers on four interrelated asymmetry problems: (1) convex compensation between practitioners and institutions, gains on the upside belong to the individual while losses on the downside belong to the institution; (2) fee retention between institutions and investors, management fees are collected regardless of whether excess returns are generated; (3) progressive deformation along the intermediary chain, from the underlying asset to the final product, every layer's mapping function is being rewritten; and (4) the socialization of losses between the financial system and taxpayers, when a systemic crisis occurs, the cost of rescue is borne by the fiscal authority. What is distinguished here are four problems in the allocation of returns, risks, and responsibilities; they correspond neither to the five diagnostic layers of Chapter 17 nor to the four links of its cross-layer transmission chain. The governance of these four problems shares a temporal predicament: the governance clock (τ_g, the cycle for making and implementing institutional rules) is usually longer than the techno-capital clock (τ_c, the iteration cycle of market narratives and product innovation). [For the foundational diagnosis of the mapping structure of financial markets, see Chapter 17; the three clocks—the governance clock (τ_g), the techno-capital clock (τ_c), and the debt clock (τ_d)—were formally defined in Chapter 3, §3.2. This chapter continues to use the scenario-specific naming of "governance—techno-capital—debt" to fit the context of financial institutional comparison.]

The task of this chapter is to ask, on the basis of that diagnosis, whether calibration is possible, by what institutional design it can be achieved, and under what conditions it fails. Within the five-layer diagnostic framework of Chapter 17, this chapter takes optimization dynamics (L1) as its main entry point, examining how compensation, assessment, and risk responsibility shape decisions; it also analyzes how pseudo-calibration (L2) lends limited performance figures the appearance of reliability, and how the relevant incentives form systemic structures that are difficult to correct. The revolving door involves the control of mapping and audit rights, the career incentives of auditors, and their independence; it cannot be exhausted by a single layer number. Compensation

caps can likewise be analyzed simultaneously by the Fiber Framework and the Macro-Cognitive Accounting Framework (MCAF): the former examines their effect on incentives and on judgments of credibility, the latter tracks their effect on narrative load (ϕ), meta-audit capacity (A), and intertemporal responsibility (see §3). The two frameworks can analyze different aspects of the same institution.

This chapter focuses on two instruments of meta-audit at the institutional level: **compensation systems** and **revolving-door regulation**. Compensation systems mainly govern the allocation of returns and risks between practitioners and institutions, linking personal remuneration to the consequences of decisions; revolving-door regulation, by restricting the transfer of interests between regulators and the regulated, protects the independence of the auditors who bear the responsibility of calibration. The two do not correspond one-to-one to the first two of the problems above: fee retention is a distributional problem between institutions and investors, whereas audit independence is a condition for implementing governance. Together the two point to the defensive-side variable in the Macro-Cognitive Accounting Framework (MCAF, the dynamic accumulation-tracking framework established in Chapter 3 for recording the accumulation, concealment, and liquidation of cognitive debt): the institutional maintenance of meta-audit capacity (A). Meta-audit capacity measures the ability of a system to identify and correct bias in its own readings; it denotes not only concrete acts of auditing but the continuous work and institutional conditions that make auditing possible.

Through a comparison between China and the United States, this chapter asks two concrete questions: (1) can the compensation system lengthen the time dimension of the decision-maker so that it matches the window of risk exposure? (2) can revolving-door regulation cut off the channel of interest transfer from "regulator -> regulated entity"? The two countries have given different institutional answers to these two questions: the Chinese path displays a pattern of continuous tightening, while the American path displays a pattern of cyclical swinging. The task of this chapter is not to declare which path is "better," but to explain in the language of the Fiber Framework **why** the same diagnosis, convex compensation incentivizes tail risk and the revolving door erodes audit independence, has produced different institutional responses in the two countries, and what the effective conditions and structural costs of each response are. The report issued by the Financial Stability Board (FSB) in November 2024 points out that there is "complexity and variability" across member jurisdictions in implementing compensation tools, and that progress is uneven. This indicates that the difficulty of calibrating compensation systems is not unique to China and the United States, but a global problem.

Material distribution of this chapter: the grading and the source list appear at the end of the chapter; here only the distribution of materials is noted: the China side draws mainly on regulations and implementation data, the U.S. side mainly on regulatory agendas, industry lobbying texts, and academic data—this asymmetry limits direct comparison.

Incremental contribution of this chapter: differences in financial regulation between China and the United States have been widely studied, and the problem of compensation asymmetry spans more than forty years of academic literature, from Grossman & Stiglitz (1980) to Kashyap et al. (2023). The value of the Fiber Framework for institutional comparison does not lie in discovering new institutional differences, but in providing a unified diagnostic language to explain **why** those differences produce different calibration effects. The chapter's increment is to connect incentive structure, information identification, and regulatory autonomy within a single set of concepts, analyzing how different institutional arrangements affect calibration—not to explain China–U.S. regulatory differences for the first time. The Fiber Framework answers: the legitimacy base ($\|L\|$, the bottom-line consensus within a society regarding "what counts as legitimate") of China's regulatory system contains

administrative power independent of the regulated entities, whereas the legitimacy base of the United States depends more heavily on consensus among market participants; the latter is more vulnerable to erosion when the regulated entities are highly organized, see §6.2. This is not a value judgment, but a structural diagnosis.

The concept of an "independent calibration source" requires precise delimitation: here it refers specifically to **independence at the institutional level**: the source of authority of the rule-maker does not depend on the recognition of the entities being calibrated. This differs from independence at the **cognitive level** and the **technical level**, see the multi-level discussion of calibration in §7.3. Institutional independence cannot automatically guarantee informational independence: the administrative power of regulators may be independent of the regulated entities, yet their information acquisition, professional competence, and cognitive framework may not be independent. Regulators may share with the regulated entities the same cognitive presupposition that "financial innovation improves efficiency." Even without direct transfer of interest, they may still be captured at the cognitive level. This chapter focuses on independent calibration sources at the institutional level; calibration at the cognitive level is discussed in Chapter 8 and Chapter 21.

§1 The Fiber Structure of Compensation Asymmetry

Before turning to the institutional comparison between China and the United States, we first use the Fiber Framework to locate with precision the structure of the problem of compensation asymmetry. The core diagnostic tool of the Fiber Framework, Chapter 4, is this: for any mapping system from true state (T) to reading (r), given one reading, the set of all true states that can produce that reading is called the fiber ($\pi^{-1}(r)$). The larger the fiber, the less information the reading carries about the true state. The essence of the compensation problem is that the current-period performance reading on which compensation is based may be compatible with entirely different risk states.

§1.1 Dimensional Reduction of the Mapping Chain: The Unobservability of Risk

The process by which performance is converted into compensation can be represented as: true risk state (T) -> observable return (r_1) -> performance evaluation (r_2) -> compensation payment (r_3). The true state T is multidimensional. It contains market risk, credit risk, liquidity risk, tail risk, and systemic interconnectedness. The observable return r_1 is only a scalar, the current period's profit and loss. From the true risk state to current-period profit and loss, information is first compressed; subsequent evaluation and payment stages may further lose risk information through ranking, thresholds, and bracketing. The theoretical root of this problem can be traced back to Grossman & Stiglitz (1980): information acquisition has a cost, and if prices already fully reflect information then no one has an incentive to acquire information. The equilibrium state is that prices are always only partially efficient. Active investors pay to gather information but may still fail to outperform. This provides theoretical background for understanding the structure in which "people pay fees but do not necessarily obtain excess return." Building on that line, Davanzo & Nesbitt (1987) were among the first to point out formally that performance-fee structures continue extracting fees even when managers fail to generate excess returns. The problem in the fee structure was identified as early as 1987; it is not a discovery made only after the 2008 crisis.

This means that the same profit reading can correspond to totally different risk states. Earning 200 million by taking prudent risk and earning 200 million by taking extreme tail risk, 99% probability of gaining 200 million and 1% probability of losing 5 billion, are completely identical at the level of the observable return (r_1) in the current period. The fiber $\pi^{-1}(r_1)$ already inflates into a huge set at the very first step.

§1.2 Convex Optimization: The Mismatch Between Visible Performance and Risk Constraints

To highlight the asymmetry between current upside gains and the subsequent bearing of losses, consider first a simplified incentive objective:

$$\max E[\alpha \cdot \max(\text{profit}, 0)]$$

where the incentive share rate (α) denotes the proportion extracted from current positive profits. This payoff function directly rewards positive profits but does not directly include the subsequent losses borne by the institution or by investors. For an evaluator who can see only current-period performance and lacks independent risk information, different risk paths yielding the same return may be difficult to distinguish. The problem lies not in the scalar form of the objective function itself, but in whether the performance basis and the actual allocation of risk responsibility are mismatched. Whether constraints such as capital requirements, position limits, risk management, deferral, and clawback are effective must be examined separately; their absence cannot be inferred directly from this simplified function. This bears a local structural similarity to the omission of important consequences in the hidden subspace when optimization targets substitute proxy indicators for real outcomes, as discussed in Chapter 13, but the contractual, payout, and external-calibration conditions of finance require separate analysis.

Compensation arrangements that reward only current upside gains without adequately incorporating tail consequences can decouple risk-taking from remuneration—a structural problem that is not a diagnosis made in hindsight after the 2008 crisis. The Investment Advisers Act of 1940 already banned registered investment advisers from charging performance fees, leaving mutual fund advisers outside its scope through a registration exemption; in the late 1960s, as mutual fund advisers were brought into SEC registration and a "performance cult" took hold, Congress closed the loophole with the 1970 amendments—and the SEC's stated reason was a structural judgment: performance fees can only be an incentive to take undue risks with the companies' funds (North, 1971; Thomas & Jaye, 2006).

Early academic evidence comes from the mutual fund industry: Brown, Harlow & Starks (1996), studying 334 growth-oriented funds over 1976–1991, found that mid-year losers increased fund volatility in the latter part of the annual assessment period to a greater extent than mid-year winners, and that the gap widened as the industry expanded and investor attention to performance rankings grew. The finding opened more than two decades of methodological dispute, with conclusions varying in direction across measures and data frequencies. Schwarz (2012) traced the dispute to a "sorting bias": when relative mid-year performance is established by sorting on first-half risk levels, mean reversion of the sorted levels alone produces the appearance of tournament behavior even without any risk-shifting; once the bias is corrected, the supportive evidence returns—underperforming managers do increase portfolio risk in the second half of the year, independent of first-half market conditions.

Mutual funds are legally barred from charging one-way performance fees: the law requires performance fees to be tied to a benchmark and to fall, when performance is below it, in the same proportion as they rise above it. Convex incentives are therefore not written into the contract but installed in the flow of funds (this refers to the advisory-fee layer of mutual funds; §1.5 will show that individual managers' compensation contracts can directly incorporate asymmetric performance incentives): the funds with the best returns attract the most new investment, underperformers lose far less in outflows, and advisers are compensated as a percentage of assets

under management. Relative performance itself thus becomes a free option—winning the ranking brings a large inflow, losing it does not trigger an equal outflow.

In the banking system, John, Saunders & Senbet (2000), eight years before the 2008 crisis, built a model linking bank regulation and managerial compensation, arguing that regulation should act directly on managerial risk-taking incentives—the design logic of using compensation structure as a regulatory instrument was already fully formed in that model.

Hedge funds, by contrast, wrote convexity into the core terms of the contract. Goetzmann, Ingersoll & Ross (2003) prove that the high-water-mark incentive fee of hedge funds has option-like characteristics—the manager shares in gains and does not bear proportional losses, and the contract can be valued using option-pricing methods. Kouwenberg & Ziemba (2007) further confirm empirically that funds charging incentive fees have significantly lower average returns, net of fees, and that downside risk is positively correlated with the level of incentive fees. Convexity alone, however, does not automatically imply unbounded risk-seeking. Panageas & Westerfield (2009) show that under an indefinite-horizon high-water-mark contract, even a risk-neutral manager does not push the risky asset to unbounded weights—risk-seeking depends on the combination of finite horizons and convex pay, not on convexity alone. Convexity opens the option space of risk-taking; whether the manager walks toward it, and how far, depends on horizon, market state, and position.

At the 2005 Jackson Hole conference, Rajan synthesized the above theoretical predictions into a policy warning, pointing out that this convex compensation structure incentivizes practitioners to take tail risk: they earn stable returns and take large bonuses most of the time, but when the low-probability event occurs they do not personally bear the losses. The warning was criticized on the spot by Lawrence Summers, then president of Harvard and a former Treasury Secretary, who found the "basic, slightly Luddite premise" of the paper "largely misguided" (Federal Reserve Bank of Kansas City, 2005). Three years later, the 2008 financial crisis erupted—the most extreme demonstration of what this structure can produce. Bebchuk, Cohen & Spamann (2010) then provided post-crisis empirical confirmation using Bear Stearns and Lehman as examples, showing that executives cashed out compensation before collapse in amounts far exceeding the value of their initial shareholdings. When an executive's pay includes equity or option components and personal losses are limited, limited liability plus leverage makes the payoff function take the shape of a call option.

The latest research since 2023 provides a more fine-grained characterization of the relation between convex compensation and risk-taking. Figueiredo, Rawley & Shelef (2023), exploiting quasi-random variation in hedge fund fee structures, separately identify the slope and the shape of incentive contracts—the slope being the rate at which pay grows with performance, the shape being the asymmetry of the contract around the performance threshold, with convexity belonging to the shape dimension. They find that what damages performance is the shape of incentives, while what raises the level of risk-taking is their intensity: under nonlinear incentives, managers who are close to, but below, the performance threshold take "bad bets"—excessive risk-taking that reduces their own performance. Cadman, Campbell & Johnson (2024) confirm the classic finding that stock-option convexity encourages risk-taking, but add a critical conditional qualification: this relation "only holds when market-wide uncertainty is low." This means that the risk incentive effect of convex compensation is not constant. In calm market conditions, option incentives do indeed increase risk-taking; but in turbulent markets, the effect weakens or disappears.

In fiber language, this means that the risk-taking incentive of convex compensation is **state-dependent**: in calm

periods option incentives do raise risk-taking, while in turbulent markets the effect weakens. Put in fiber terms, what changes is the probability of different risk paths behind the same profit reading, not the size of the fiber itself; hidden tail risk remains compatible with the same profit reading.

In addition, analysis by Compensation Advisory Partners (CAP) shows that in 2025 total CEO compensation rose 8% year on year and annual bonus payouts rose 4%, while median financial performance was essentially flat, revenue up 2.9% and earnings per share (EPS) down 1.6%. The 25th percentile of bonus payouts still reached 87% of target bonus (77% in 2024 and 76% in 2023). In fiber language, the point of these figures is not deteriorating performance—EBIT (earnings before interest and taxes) grew 7.3% and median total shareholder return rose 5.4%, with indicators pointing in different directions—but that the bonus reading, "87% of target bonus received," compresses a multidimensional performance state into a single signal.

§1.3 Pseudo-Calibration: From Limited Readings to Proof of Reliability

A precise performance figure can be truthful, and yet the judgments people base on it may exceed what the figure can support. Suppose an institution reports a book profit of 237 million yuan for the quarter: verifying the figure confirms the current-period result under a specific accounting convention; the figure alone cannot simultaneously confirm that the profit will persist, that the risks have been adequately compensated, or that the corresponding pay reflects long-term value created by the manager. The Fiber Framework calls the set of different true states compatible with the same reading a fiber: identical current profits may rest on different risk-taking, different sources of return, and different future losses. Pseudo-calibration occurs at another level—investors or the bodies deciding compensation treat these not-yet-excluded differences as though the performance figure had already excluded them. The pseudo-small fiber of Chapter 4, §2.4 is precisely this gap between the appearance of certainty and an uncertain substance; what it erodes first is the motivation to keep checking.

Rankings can accomplish the same conversion without any sophisticated model. Ranking first among comparable returns is a relative position within a specific period, a specific comparison set, and a specific evaluation convention. Even if no candidate possesses the ability to generate sustained excess returns, a first place will emerge as long as realized returns differ. A ranking can provide a clue to ability, but it cannot by itself prove that ability will persist. If one moves directly from historical rank to a judgment that long-term trust of funds is warranted, then the comparison period, the risk taken, and the persistence of returns retreat from conditions to be tested into background assumptions. No fraudulent ranking is required here; what needs auditing is what a genuine ranking result is taken to prove.

The display of historical performance can achieve fundraising success without simultaneously passing the test of subsequent performance. Jain & Wu (2000) studied open-end equity mutual funds advertised in *Barron's* or *Money* between 1994 and 1996: performance in the year before the advertisements was significantly better than the study's benchmarks, while the year after showed no continuation of that advantage; after controlling for past performance, past fund flows, and fund size, advertised funds still attracted greater inflows. The study separates the commercial effect of display from the predictive value of what is displayed. The authors, however, explicitly retain an alternative explanation: advertising may reduce investors' search costs. The inflows therefore cannot by themselves prove that investors were misled. The narrower claim this evidence supports is that fundraising success cannot in turn serve as evidence that sustained investment ability has been verified. Only when the display leads investors to believe that such verification has already been completed does it enter the pseudo-calibration discussed in this section.

Rigorous execution of procedures and mathematical optimality can also be invested with a similar probative force. Model-driven asset allocation can reduce some of the arbitrariness of discretionary decisions, but it does not dispense with judgments about data windows, evaluation objectives, parameter estimation, and conditions of applicability. That a computation is reproducible and that its result suits real investment are two questions that must be examined separately. DeMiguel, Garlappi & Uppal (2009) compared the out-of-sample performance of fourteen asset-allocation models across seven datasets and found that none consistently beat the equal-weighted (1/N) allocation in Sharpe ratio, certainty-equivalent return, or turnover. The result has its own models and sample scope; it does not imply that equal weighting is universally optimal. What it shows is that parameter-estimation error can offset the gains from within-model optimization. In the Fiber Framework, the problem arises once the conditions are suppressed: the optimum given estimated parameters is presented as the optimal real-world choice. The algorithm does not abolish judgment; it merely moves part of the judgment to before the output.

Limited readings must pass through an institutional link before entering compensation settlement: the institution first defines what counts as performance, then confirms pay accordingly. The Financial Stability Forum's (FSF) *Principles for Sound Compensation Practices* documents one concrete form of this conversion. Some institutions use internal profit-and-loss systems that differ from financial-reporting conventions to set performance targets and bonus thresholds. For certain mark-to-model products, expected future revenues are sometimes present-valued without adequate consideration of the likelihood of actual receipt and counted toward employees' current-period performance; employees thereby gain an incentive to raise current pay, while the residual risks are borne by shareholders in future years (Financial Stability Forum, 2009). The key point is not merely that valuations can be wrong, but that amounts still containing judgments about the future have already acquired current-period pay-setting force. If approval merely checks whether performance has met the internal threshold while treating valuation assumptions, cost attribution, and risk horizons as settled, procedural passage may substitute for substantive calibration.

Institutional fee income and individual compensation must be tracked separately; the fact that the former is charged on assets under management does not warrant inferring that the latter rewards scale alone. Ma, Tang & Gómez (2019), studying more than 4,500 U.S. mutual funds over 2006–2011, found that 79.0% of sample funds explicitly tie manager bonuses to investment performance, and that individual managers' compensation contracts differ in structure from the contracts by which funds pay their management companies (see §1.5 for the contract-structure evidence). This implies that pseudo-calibration does not presuppose compensation wholly detached from performance. Even when pay explicitly rewards performance, one must still ask which risks the rewarded performance encompasses, who bears consequences beyond the evaluation period, and whether the users of the metric mistakenly take these questions as already answered. Linking pay to performance does not automatically prove that the link between performance and long-term value has been established.

Financial pseudo-calibration therefore cannot be established merely by high pay, fee income, or ex post losses. In the situations analyzed in this section, it denotes: the production and display of performance continuously supply readings that readily gain acceptance, while recipients treat the limited evidence as a proof of reliability sufficient to stop asking. When such readings can support fundraising, fee collection, and bonus settlement, while the unexcluded uncertainties no longer enter the corresponding review and accountability arrangements, the appearance of success acquires economic reward. The process does not require all participants to deliberately conceal risk; as long as evaluation and allocation keep rewarding visible success without correspondingly testing

the conditions that were omitted, pseudo-calibration can be reinforced in the daily operation of institutions.

The goal of institutional calibration is not to withhold payment until all uncertainty has disappeared, but to prevent compensation settlement from being mistaken for the end of risk judgment. The *Principles for Sound Compensation Practices* state explicitly:

> Payments should not be finalized over short periods where risks are realized over long periods. (Financial Stability Forum, 2009)

The same document also requires consideration of both unrealized risks and realized outcomes, and notes that mechanically combining the two still cannot eliminate the limits of risk measurement. In this chapter's diagnostic language, calibration must preserve two things at once: keeping the questions a performance reading cannot answer visible, and keeping subsequent outcomes able to affect pay and responsibility. What is most worth tracking in financial pseudo-calibration is precisely how these two come apart—a reading already sufficient to support the realization of gains, yet treated as grounds for no further examination.

§1.4 Multi-Mapping Recursion: The Self-Reference of Risk Models

Financial institutions' risk judgments draw both on information about underlying assets and on the ratings, prices, and risk readings of other institutions. Imagine that institution A buys an asset on the basis of some safety judgment, and institution B then treats the subsequent price rise as grounds for raising its valuation and risk limits; if independent verification of the underlying assets is insufficient across the parties, mutual citation can reinforce a shared judgment and drive further risk-taking. The problem lies in the weakening of independent calibration, not necessarily in the disappearance of all information about the true state. The schematic expression of the degeneration of mapping into self-reference,

$$\pi_i(T) \to \pi_i(\{r_j\}_{j \neq i})$$

characterizes the limiting direction in which other readings replace the true state as input; everyday financial markets still require an examination of how the two kinds of input coexist and how their roles change. In the 2008 collateralized debt obligation (CDO) crisis, multi-layer nesting made the correspondence between the final rating and the underlying borrower's default risk harder to discern, and the risk differences that could not be ruled out from the final rating alone expanded substantially. Kashyap, Kovrijnykh, Li & Pavlova (2023) reveal another form of the same recursive structure at the institutional level: benchmarking encourages convergence in fund managers' positions; crowded trading pushes up asset prices and reduces the effectiveness of incentive contracts; the benchmark itself becomes another layer of mapping self-reference.

§1.5 The Core Contradiction: Multidimensional States and One-Dimensional Signals

The core of the compensation-asymmetry problem is not that the amount of pay can only be written as a single number, but that the basis of remuneration may fail to cover the consequences of decisions. Real risk involves short-term returns, tail losses, systemic linkage, and intertemporal stability; if a contract mainly rewards easily observable current performance and the bearing of consequences is not made up by other constraints, the same performance reading can conceal different risk paths. Institutional calibration must therefore examine not only the payoff function but also the evaluation information, the constraint conditions, the horizon of responsibility,

and actual enforcement. AI's proxy-objective optimization and financial compensation can be compared on the mechanism of "visible results are rewarded while important consequences are inadequately constrained," but local similarity cannot be extrapolated into identical feedback and calibration conditions across the two domains.

The empirical data of Ben-David, Birru & Rossi (2026) confirm this structural prediction: the nominal incentive fee rate of hedge funds is around 20% (sample mean 19.0%), but the actual effective fee rate reaches 49.6%. The asymmetry of the fee structure means that investors retain only about thirty-six cents of every dollar of gross excess return, with the remaining sixty-four cents extracted by fund managers as management and incentive fees. French (2008) estimates that over 1980–2006 U.S. equity investors bore costs of about 0.67% of aggregate market capitalization per year for active management, and understands this as the social cost of price discovery—in aggregate, active investing delivered no net excess return over the market, while the costs were paid with certainty. Guercio & Reuter (2014) directly confirm that actively managed funds sold through brokers significantly underperform index funds (by 112 to 132 basis points per year)—this segment faces a weaker incentive to generate alpha (excess return), so that even when performance is mediocre or negative, funds can continue charging fees through expansion of scale; actively managed funds sold directly to investors, by contrast, are indistinguishable from index funds.

Ma, Tang & Gómez (2019) hand-collect the compensation disclosures of more than 4,500 U.S. mutual funds to provide a systematic study of the compensation contracts of individual fund managers: 79.0% of funds explicitly tie the bonus to investment performance, while only 19.6% explicitly consider the fund's assets under management—in contrast to advisory contracts, which are based mostly on AUM fees. The dominant form of individual-manager compensation is asymmetric, option-like performance-based incentives; different compensation arrangements show no significant differences in future fund performance (gross or net of fees), and the variation in contract structure is broadly consistent with an optimal contracting equilibrium.

Servaes & Sigurdsson (2022) further show that the cost of performance fees is concentrated in structures without a stochastic benchmark or with a benchmark that is easy to beat—funds with a proper benchmark show no evidence of underperformance; a subset of funds do, however, employ performance fees to extract additional fees from investors. That fees are charged even without excess return being generated shows only that the charging condition does not presuppose excess return; whether the extraction is improper further depends on contract structure, disclosure, and actual risk bearing. How much damage convex incentives do depends on the presence and quality of the benchmark.

The timeline of the literature below shows that the fiber structure of compensation asymmetry is not an accidental product of the 2008 crisis, but a structural feature repeatedly predicted in theory and confirmed empirically across more than forty years. It should be noted that the following works come from multiple independent research traditions, information economics, investment-management research, corporate finance and law-and-economics, asset pricing, macro-finance, and strategy and organizational economics, each independently diagnosing a different aspect of the problem of compensation asymmetry. To place them on the same timeline is an act of retrospective inductive reordering, not a continuous accumulation line presupposed by the original research designs:

Year	Literature	Core finding
1980	Grossman & Stiglitz	Information acquisition is costly, active investors may not outperform—theoretical background for fee extraction
1987	Davanzo & Nesbitt	Managers charge high fees even without generating excess return, an early formal identification of the fee-structure problem
1996	Brown, Harlow & Starks	Mid-year losers significantly raise portfolio risk in the latter half of the assessment period—early evidence that convex incentives reside in the flow of funds rather than in the contract
1999	Ackermann, McEnally & Ravenscraft	Hedge funds outperform mutual funds but with higher volatility; incentive fees explain part of the excess performance
2000	John, Saunders & Senbet	A theoretical model of bank compensation and risk-taking, a full framework eight years before the crisis
2003	Goetzmann, Ingersoll & Ross	High-water-mark incentive fees are approximately a call-option-style claim on fund returns; managers have an incentive to close loss-making funds and start new ones to reset the high-water mark
2004	Berk & Green	In rational markets, fund managers extract all rents and investors' long-run return equals the index
2006	Rajan	Jackson Hole (2005) warning on tail-risk incentives, criticized on the spot by Summers as "Luddite"
2007	Kouwenberg & Ziemba	The higher the incentive fee, the greater the downside risk, empirical
2008	**Financial crisis**	The crisis demonstrated, in the most extreme way, what this structure can produce
2009	FSF	G20 compensation principles
2012	Guerrieri & Kondor	Career concerns generate asymmetric distortion
2013	Robinson & Sensoy	Higher fees do not correspond to worse net-of-fee performance; distributions near contractual fee triggers show agency conflict
2014	Guercio & Reuter; Bhagat et al.; Clare et al.	Negative alpha still supports fee charging; deferred pay is not enough; symmetric fees are better but almost no one uses them

Year	Literature	Core finding
2019	Ma, Tang & Gómez; Stambaugh	Individual-manager bonuses are mainly performance-tied (79.0%), with AUM a minor factor (19.6%); broadly rising skill shrinks managers' profits and total industry fee revenue
2023	Kashyap et al.; Figueiredo, Rawley & Shelef	Benchmarking and crowded trading are the institutionalization of mapping self-reference; what damages performance is the shape of incentives rather than their intensity, and managers near the threshold take bad bets
2024	Cadman, Campbell & Johnson	Option convexity encourages risk-taking only when market uncertainty is low (*The Accounting Review*)—fiber inflation is state-dependent
2026	CAP CEO compensation analysis	The 25th-percentile bonus payout still reaches 87% of target versus 77% in 2024; the bonus reading and financial indicators point in different directions
2026	Ben-David, Birru & Rossi	Investors retain only about 36 cents of every dollar of gross excess return, with the remaining 64 cents paid out as management and incentive fees

The literature above comes from multiple independent research traditions: Grossman & Stiglitz (1980) belongs to information economics; Davanzo & Nesbitt (1987), Brown, Harlow & Starks (1996), and French (2008) belong to investment-management research; John, Saunders & Senbet (2000) and Bebchuk & Spamann (2010) belong to corporate finance and law-and-economics; Goetzmann, Ingersoll & Ross (2003) and Kouwenberg & Ziemba (2007) belong to asset pricing; Rajan (2005) and Kashyap et al. (2023) belong to macro-finance; Figueiredo, Rawley & Shelef (2023) belong to strategy and organizational economics. These traditions use different analytical frameworks and terminologies, but each independently identifies a segment of the structure of compensation convexity, risk incentives, and investor loss. Organizing them into a single timeline is the framework contribution of this chapter, not a consensus among the original works themselves.

The above is the fiber structure of the problem. We now turn to the comparison of institutional responses in the two countries.

§2 Compensation Systems: Binding the Consequences of Decisions to the Decision-Maker's Time Dimension

§2.1 China: An Institutionalized Path from Loose to Strict

The evolution of Chinese financial compensation regulation displays a clear institutionalized path "from loose to strict." The starting point is the 2010 *Guidelines on Prudent Compensation Supervision for Commercial*

Banks issued by the former China Banking Regulatory Commission. For the first time, that document made clear that commercial banks should establish provisions on deferred performance compensation, clawback, and recoupment. This institutional direction was consistent with international trends: under G20 endorsement, the Financial Stability Forum (FSF) (2009) proposed a framework of deferral and clawback, directly targeting the asymmetry of convex compensation; Tung (2011) argued from a law-and-economics perspective for incorporating banker compensation structures into risk regulation, and proposed a compensation-grading reform modeled on the FDIC's risk-premium gradation structure. The FSB principles were then refined by the Basel Committee on Banking Supervision (BCBS) into operational assessment methods (BCBS, 2010 bcbs166; BCBS, 2011 bcbs194), and received empirical support from Cerasi, Deininger, Gambacorta & Oliviero (2017 BIS WP 630), who find that in jurisdictions writing the FSB principles into domestic legislation, the compensation of banks becomes less tied to short-term profits and more tied to risk, and CEOs at riskier banks actually receive lower variable compensation than peers at lower-risk banks. The limitation of that stage lay not in missing parameters but in implementation machinery—the guidelines came without operational procedures or disclosure requirements, and the degree of implementation long lacked public data.

The critical institutional turning point came in 2021. The former China Banking and Insurance Regulatory Commission issued the *Guiding Opinions on Establishing and Improving the Clawback and Recoupment Mechanism for Performance Compensation in Banking and Insurance Institutions*. For the first time, clawback and recoupment were upgraded from a principled requirement in the 2010 guidelines to a concrete guiding opinion on institutional mechanism building, specifying the applicable circumstances, methods, and procedural requirements. This document was the key step from principle-based requirements to mechanism-based execution; only after that did the banking industry begin in large numbers to establish operational procedures for recoupment and clawback.

Bhagat, Bolton & Romano (2014) survey the three broad post-crisis reform proposals—long-term deferred equity, mandatory bonus clawbacks, and debt-based compensation—and advance a proposal of their own: executive incentive pay should consist only of restricted stock and restricted stock options, with transfer restrictions extending two to four years beyond the executive's last day in office; they explicitly oppose a shift toward debt-based pay, arguing instead for higher and simpler capital requirements and the mandatory issuance of contingent convertible capital. Two developments in 2022 extended the requirements across the industry. The first was the August 2022 *Notice on Further Strengthening Financial Management of State-Owned Financial Enterprises* issued by the Ministry of Finance, which extended deferral and accountability-based recoupment requirements to all state-owned financial enterprises, reaffirmed that more than 40% of the performance compensation of senior managers and employees in positions with direct or important influence on risk should take the form of deferred payment for a period generally of not less than three years, and made explicit that clawback provisions apply to personnel who have already left or retired. The second was the first issuance in 2022 by the Securities Association of China of the *Guidelines for Securities Companies to Establish Prudent Compensation Systems*, extending deferred payment from banking into the securities industry.

Regulation then intensified layer by layer. In 2024 the public-fund industry circulated reports of annual compensation caps, ranging from 1.2 million to 3 million yuan. Although this was not implemented in the form of an explicit written regulation, adjustment had already begun at the level of actual industry execution (The Paper, May 7, 2024). In January 2025 Reuters reported that China had imposed comprehensive compensation caps on centrally controlled financial enterprises: 1 million yuan annual cap for employees at group headquarters, 3

million yuan cap at subsidiary level, and no inversion was permitted between compensation and rank (*Reuters*, January 22, 2025).

On April 17, 2026, the Securities Association of China issued the revised *Guidelines for Securities Companies to Establish Prudent Compensation Systems*, with the revision centering on three requirements:

First, **long-cycle assessment**. For key positions such as the chair, senior executives, and heads of major business departments, performance assessment must include long-term indicators of three years or more, incorporating the consequences of decisions over longer horizons into assessment.

Second, **detailed rules on deferred payment**. The *Guidelines* require that personnel in positions with direct or important influence on risk be brought into the scope of deferral, with standards, durations, and proportions set by each firm according to the risk attributes of its business and positions; as reported by China Business Journal, the performance compensation of investment-banking positions in origination, execution, quality control, internal review, risk control, and compliance will be placed in full into deferral (China Business Journal, April 19, 2026). The *Guidelines* establish the "T+2" commencement rule—the year in which deferred payment may begin is no earlier than the second year after the performance-compensation attribution year (year T); the speed of deferral may not be faster than equal installments; and the deferral cycle must match the duration for which the relevant business risk persists. Taking the performance compensation of a three-year credit-bond project attributed to 2026 as an example, payment can begin in equal installments no earlier than 2028, with the final installment not paid until 2030.

Third, **clawback and recoupment cover departed and retired personnel**. Violations of laws or regulations, or conduct causing the company to bear excessive risk exposure, may all trigger recoupment. The persons subject to recoupment include senior executives and directly responsible originators and executors. The methods of recoupment include reduced payment, suspension of payment, and requiring repayment. The scope of clawback was further consolidated on the basis of earlier documents—the Ministry of Finance's 2022 notice had already provided that clawback applies to personnel who have already left or retired, and the 2026 *Guidelines* reaffirm this principle for the securities industry and make explicit the duty of "relevant personnel" to cooperate. A securities practitioner told China Business Journal that this measure can close the old loopholes of front-loading benefits while back-loading risk, and of finishing the deal and then running.

On the banking side, as of April 2026, all 36 listed banks that had released annual reports mentioned a mechanism for clawback and recoupment of performance compensation. Of these, 12 disclosed specific amounts, totaling nearly 100 million yuan. Bank of China ranked first with 47.1782 million yuan, and its three-year cumulative recoupment exceeded 102 million yuan. China Construction Bank ranked among the leading disclosed banks in average payback per person, at more than 110,000 yuan. From only 3 banks disclosing amounts in 2022 to all 36 now mentioning the mechanism and 12 disclosing amounts, "reverse salary recovery" has moved from isolated cases to normality, from principle-based requirements to mechanism-based execution. The recoupment data above are based on the 2025 annual reports of 36 listed banks released by April 2026 (*Economic Information Daily*, April 18, 2026).

One notable trend is the year-by-year intensification of recoupment. The amount clawed back by Bank of China in 2025 rose 45% year on year, while the number of persons involved nearly doubled. Industry participants widely believe that the actual scale of bank recoupment is far larger than the public data suggest. "Disclosure" is at present still encouraged rather than mandatory, and many banks in practice prefer to "do it without saying

it."

The legal and factual conditions of institutional execution must be marked. King & Wood Mallesons (2025), in its practical study, organizes the difficulties of financial-institution salary recoupment in judicial practice into three layers: first, the absence of an institutional basis—industry norms cannot serve directly as a basis for recoupment, and courts do not support claims where the institution has failed to internalize the norms into valid internal rules, or where democratic-publication procedures are missing, or where the rules are applied retroactively; second, insufficient factual basis—after a risk event the institution must investigate, gather evidence, and make a responsibility determination under its internal rules, a heavy evidentiary burden that also requires proving causation between the employee's conduct and the loss; third, recoupment beyond a reasonable scope and time limit—personnel, amount, and time each have boundaries, and cross-project, cross-year recoupment remains judicially contested. Of the 35 cases analyzed in that study, courts supported or partially supported the institution's claim in only 8. The same study also notes that although some institutions' internal rules contain provisions on salary recoupment, those rules are often too vague to receive judicial support in practice. In one case involving a fund company, the rules mentioned only in principle that deferred performance could be reduced, but did not clearly state that already paid compensation could be clawed back; the court therefore rejected the company's claim to recover compensation that had already been paid to the employee.

In fiber language, the clawback and recoupment system itself has **a non-singleton fiber**: the same set of rules produces significantly different outcomes across institutions and across cases. These cases show that converting regulatory requirements into enforceable recoupment claims is constrained by the validity of internal rules, factual proof, and procedural deadlines; a claim's failure may expose enforcement defects or, alternatively, reflect limits on improper recoupment—it cannot be uniformly read as a necessary phase.

Chinese compensation regulation has now passed the stage of "whether there is a system"—more than 95% of institutions have formulated and implemented deferred payment and clawback systems (China Banking and Insurance Regulatory Commission, March 24, 2023)—and is entering the stage of "quality of execution." The true test has shifted from "whether it exists" to "how well it works" and "whether it is fair." The adjudicative reasoning of the court system is providing calibration benchmarks for this stage.

In fiber language, deferred compensation and recoupment systems force the decision-maker to face the long-term consequences of fiber inflation. When the performance compensation from a transaction can only be fully received after 3 to 6 years, and may still be recaptured even after departure, the decision-maker can no longer "run away" after risk exposure. Deferral and recoupment lengthen the period over which the decision-maker bears consequences, making it more likely that compensation responsibility covers the window of risk exposure; whether it matches the debt clock (τ_d, the characteristic delay from the sedimentation of cognitive debt to its first manifestation) must still be judged against the risk-recognition and loss-confirmation process of the specific business.

The function of the T+2 commencement rule is to make the first deferred payment fall after the performance-attribution year, increasing the opportunity for subsequent risk to affect pay—the decision-maker remains "present" during the critical window of risk exposure. Its appropriateness depends on the exposure horizon of the business risk, the deferral proportion, and the clawback mechanism; T+2 cannot be deemed a universally optimal balance point on the basis of the nominal maturity of a three-year bond alone. In fiber language, T+2 deferral lengthens the decision-maker's time dimension from "current-year performance" to "three-year risk

cycle," preventing exit during the stage of fiber inflation, when risk is accumulating but not yet exposed. Covering departed and retired personnel with clawback closes the exit channel of "finish the deal and run"—even after retirement, if the project blows up within the risk cycle, recoupment remains possible; departure itself no longer automatically discharges the existing clawback liability, and whether recovery succeeds still depends on evidence, responsibility findings, and time limits.

Deferred compensation therefore does more than lengthen the time window of individual decision-making. It inserts an institutional deceleration into the loop of multi-mapping recursion, §1.4. When the decision-maker must remain inside the recursive loop until risk exposure, there is an incentive to question whether the pricing of other institutions is still anchored in the true state (T) rather than merely citing one another's readings ($\{r_j\}$). If subsequent losses can actually affect individual pay, and practitioners have the conditions to verify, deferral may strengthen their incentive to examine external pricing and ratings, thereby weakening unverified cross-institution citation; its influence on systemic recursion works through these conditions and is not an automatic effect of the deferral provision.

Compensation regulation in the United States over the same period, by contrast, went through advances, shelving, and restarts, not one of unilateral tightening but one of repeated swinging driven by the political cycle.

§2.2 United States: From Dodd-Frank to Stagnation under Political Swing

The U.S. path of compensation regulation is completely different. Section 956 of the Dodd-Frank Act requires six major financial regulators, the Federal Deposit Insurance Corporation (FDIC), the Office of the Comptroller of the Currency (OCC), the Federal Housing Finance Agency (FHFA), the National Credit Union Administration (NCUA), the Federal Reserve Board (FRB), and the Securities and Exchange Commission (SEC), to jointly issue rules on incentive compensation, prohibiting compensation arrangements that encourage inappropriate risk-taking (United States Congress, 2010). Since being written into law in 2010, this provision has gone through a cycle lasting well over a decade of "advance—shelve—re-advance."

In June 2016 the six agencies jointly issued the second notice of proposed rulemaking (2016 NPR), the moment that came closest to actual implementation since Section 956 had been written into law in 2010. For the first time, the draft made explicit tiered deferral requirements. It divided regulated financial institutions into three levels by consolidated asset size: Level 1 ($\geq$ \$250 billion), Level 2 ($\geq$ \$50 billion and $<$ \$250 billion), and Level 3 ($\geq$ \$1 billion and $<$ \$50 billion). For senior executives at Level 1 and Level 2 institutions, the draft required that 60%/50% of incentive compensation be deferred, for periods of no less than 4 years and 3 years respectively. For "significant risk-takers," the deferral ratios were 50%/40%. The draft also required clawback provisions: within 7 years following the date on which compensation vests, if misconduct resulting in significant financial or reputational harm, fraud, or intentional misrepresentation was determined, compensation already paid could be recovered, and deferred portions could be mandatorily forfeited in material-loss events. Structurally these provisions are highly isomorphic to the Chinese compensation system of 2022–2026: both aim to lengthen the decision-maker's time dimension so that it matches the window of risk exposure. But the draft never took effect. After Trump entered office in 2017 for his first term, deregulation became the policy tone, and the SEC and the other agencies no longer mentioned this compensation-limitation rule in their new regulatory agendas. The shelving of Section 956 was not administrative negligence; it was a change of political direction.

In May 2024, three of the six agencies, the FDIC, OCC, and FHFA, reissued the proposed rule (2024 NPR),

with the failures of Silicon Valley Bank, Signature Bank, and First Republic in 2023 as the direct impetus (Freshfields Bruckhaus Deringer, 2024). FDIC Chair Gruenberg noted that reports on the three failures identified two common weaknesses: an excessive focus on growth and short-term profitability, and "a lack of risk metrics in compensation policies and practices that may have encouraged excessive risk taking" (FDIC, OCC & FHFA, 2024). Two months later, on July 18, 2024, the NCUA voted 2-1 to join the proposed rule, narrowing the absent parties to the Federal Reserve and the Securities and Exchange Commission (SEC)—the former being the agency with the greatest jurisdiction over systemically important financial institutions among the six, while the SEC had also placed the rule on its rulemaking agenda but had not yet voted. By then 14 years had already passed since the Dodd-Frank Act was enacted.

The June 2024 joint comment letter shows that industry associations formed organized opposition to the proposal; the stagnation over those fourteen years also involved inter-agency coordination and shifts in policy direction, and cannot be explained by that letter alone. Less than six weeks after the 2024 NPR was released, four major industry associations, the Bank Policy Institute (BPI), the American Bankers Association (ABA), the Financial Services Forum (FSF), and the Securities Industry and Financial Markets Association (SIFMA), jointly submitted a comment letter (BPI et al., June 18, 2024) raising three core objections.

First, the **ultra vires argument**: Section 956 authorizes regulators only to "prohibit" compensation arrangements that encourage inappropriate risk-taking, but the 2016/2024 drafts in substance "require" all regulated institutions to incorporate particular compensation terms. To claim the power to require specific arrangements because they logically could forbid all plans that lack those required terms, they argue, "defies the legislative intent of the statute."

Second, the **procedural argument**: the 2024 NPR was issued by only three agencies rather than the statutorily required six acting jointly, and therefore has "no legal effect"—it will not be submitted to the Federal Register and does not trigger rights and obligations under the Administrative Procedure Act. (The associations' comment letter was submitted on June 18, 2024; the NCUA joined one month later, on July 18, narrowing the absent parties to the Federal Reserve and the SEC, but the statutory defect of joint issuance was not fully eliminated.)

Third, the **rigidity argument**: the draft establishes a rigid "one-size-fits-all" framework, depriving institutions of the ability to flexibly adjust compensation practices according to their own risk conditions. The four associations also argue that compensation practices in the financial industry have "changed considerably" over the past eight years, yet the draft provides "no analysis" of those changes.

In fiber language, the three lobbying arguments can be rediagnosed as follows. The ultra vires argument is a **defense of monopoly over the mapping function**: the regulated entities are trying to preserve autonomy over compensation design, that is, to protect their pricing power within the mapping chain. Here "monopoly over the mapping function" is an analogical application of the concept from Chapter 6: what the financial associations are defending is not the pricing power of a specific trade, but control over the compensation mapping function of the industry as a whole, equivalent to meta-control over "how the operators of the mapping are designed." The procedural argument is a **strategy of exploiting institutional fissures**: the statutory requirement that all six agencies act jointly means that the absence of any one can be used to deny the validity of the rule. The rigidity argument **preserves, in the name of flexibility, the space of convex incentives**; whether the "flexible adjustment" the associations seek overlaps with the space of convex incentives diagnosed here must be judged from their specific contractual claims. Together the three arguments constitute the institutional obstacles to

Dodd-Frank Section 956: even after the legislature diagnosed the problem in 2010, organized opposition from the regulated entities could still prevent the calibration measure from landing for 14 years.

By contrast, over the same period, 2010–2026, China moved from the principle-based parameters of regulatory guidelines, through mechanism refinement and extension across the industry, to full coverage of deferral rules in the securities industry, with execution-level disclosure thickening year by year. Both the execution strength and the speed of iteration of Chinese financial compensation regulation far exceeded those of the United States.

The SEC's spring 2025 regulatory agenda further confirmed the deadlock: Section 956 was removed from the short-term rulemaking agenda and retained only on the long-term action list (Gibson Dunn, 2025). The Gibson Dunn team noted that "four of six federal financial regulators re-proposed the Section 956 rule on May 6, 2024" (Gibson Dunn's phrasing counts "four" agencies for the re-proposal, which differs from the agency-by-agency timeline recorded in this chapter—FDIC, OCC, and FHFA issued the proposal on May 6, with the NCUA joining on July 18; this chapter follows the original agency announcements). By then 15 years had passed since the Dodd-Frank Act was enacted. The U.S. Chamber of Commerce continued lobbying against implementation of Section 956. A June 2025 report noted that the Chamber was fighting to preserve Wall Street's bonus culture, opposing rules that would tie executive compensation to the long-term financial health of the company (Shaw, 2025). That lobbying became especially effective in the context of an SEC regulatory direction swinging with the political cycle. Fiscal year 2025 SEC enforcement data show that the Commission filed 456 enforcement actions, a marked decline from the 583 filed in fiscal year 2024 (SEC, November 22, 2024; SEC, April 7, 2026). In the fiscal-year enforcement results, new SEC Chair Paul Atkins stated: "We have redirected resources toward the types of misconduct that inflict the greatest harm—particularly fraud, market manipulation, and abuses of trust" (SEC, April 7, 2026), and emphasized that the SEC "must stay in our lane as a disclosure agency and not be a merit regulator" (Atkins, April 7, 2026).

The fifteen-year stagnation of Section 956 cannot be read as a general failure of U.S. institutional capacity—the same legal system has run a complete evolutionary line on performance fees. The Investment Advisers Act of 1940 banned registered advisers from charging them, leaving mutual fund advisers outside its scope through a registration exemption; the 1970 amendments banned one-way performance fees, leaving only symmetric fulcrum fees tied to a benchmark; funds forced to change their fee schedules promptly changed their portfolio risk levels, while losing shareholders and assets around the time of the imposition (Golec & Starks, 2004); in 1985 the SEC adopted Rule 205-3, opening an exemption channel for qualified clients, and enforcement sweeps and modernization debates have continued since (Bourgeois et al., 2019; Thomas & Jaye, 2006). The fork between the two lines lies not in legislative capacity but in jurisdictional structure: the performance-fee line is administered by the SEC alone and can evolve with enforcement experience; the Section 956 line requires joint action by six agencies, and any single abstention can be used to deny the rule's validity—the industry comment letters' "procedural" attack aims precisely at this structural gap. In fiber language, the prolonged stagnation of Section 956 means that the question "who audits the clock-setter?" has received no institutional answer at the level of a uniform cross-agency constraint on risk incentives; the existing prudential guidance and financial-restatement clawback rules each have their own scope and cannot substitute for the uniform requirement the section would establish. The movement away from the real described by Minsky (1986), from hedge finance toward Ponzi finance, see Chapter 17, §5, becomes harder to restrain so long as that uniform constraint is missing.

§3 Compensation Caps: Institutional Rewriting of "Performance Legitimacy"

If deferred compensation and clawback are about "binding the time dimension," then compensation caps are about "restricting inflation on the projection side." The two are not substitutes but complements: deferral and clawback mainly adjust the time relation between pay realization and risk-bearing, whereas caps mainly limit the scale of pay; each may also change incentive intensity and risk-taking.

The institutional evolution of compensation caps has its own timeline. In 2009 the *Guiding Opinions on Further Regulating the Compensation Management of Responsible Persons in Central Enterprises* first institutionalized compensation caps. In August 2014 the Political Bureau of the CPC Central Committee reviewed and approved the *Reform Plan for the Compensation System of Responsible Persons in Centrally Administered Enterprises*, to be implemented from 2015 onward in 72 vice-ministerial-level central enterprises: the compensation of responsible persons was restructured into three components—base annual salary, performance-based annual salary, and tenure-based incentive income. The base annual salary was set at 2 times the average wage of on-the-job employees of central enterprises in the previous year; the performance-based annual salary was capped at 2 times the base annual salary; tenure-based incentive income was capped at 30% of the total annual salary over the tenure; and total compensation was capped at 7 to 8 times the average wage of on-the-job employees. Before the reform, the average annual pay of executives of central enterprises supervised by SASAC already stood between 600,000 and 700,000 yuan (*China Economic Weekly*, November 25, 2014). In May 2023 the General Office of the Ministry of Human Resources and Social Security issued the *Guidelines on Internal Compensation Distribution in State-Owned Enterprises*, setting for the new round of compensation reform the principles of preventing egalitarian distribution and compensation "inversion" (General Office of the Ministry of Human Resources and Social Security, May 8, 2023). By 2025, comprehensive compensation caps were imposed on central financial SOEs—a 1 million yuan cap at headquarters and a 3 million yuan cap at subsidiaries—extending the compensation-cap constraint to central financial institutions, though not to the financial industry as a whole (*Reuters*, January 22, 2025).

In 2025 China imposed comprehensive compensation caps on 27 central financial institutions: 1 million yuan annual cap for headquarters employees and 3 million yuan cap for subsidiary-level entities. The new rules also required that, within the target firms, subordinate employees' compensation must not exceed that of superior employees; "inversion of compensation and rank" was no longer allowed to persist (*Reuters*, January 22, 2025). In addition, the Ministry of Finance had already required that the fixed salary of senior executives and personnel in key positions of financial enterprises generally not exceed 35% of total compensation (Ministry of Finance, August 2022).

In the language of the Fiber Framework, compensation caps operate on the upper bound of narrative load (ϕ) in the meta-formula of the MCAF. Narrative load (ϕ) measures the weight of noninformational content carried by a signal. It does not appear as a concrete proposition, but as a latent assumption preinstalled in the human mind under the guise of "common sense". When inflation on the projection side is constrained in total amount, the space for using high compensation to manufacture narratives such as "scarcity of talent" and "market value" is compressed. This is not a moral judgment on individual income, but a quantitative limit on the space within which narrative load (ϕ) can inflate.

The mechanism by which compensation caps compress narrative load (ϕ) must be distinguished into two forms. The **direct mechanism** is that compensation itself, as the economic evidence of the narrative of "market pric-

ing," is contracted. Once total pay is capped, the amount actually paid can no longer be read directly as an unconstrained market valuation—the inference "the market thinks this person is worth this much" must be qualified. The **indirect mechanism** is that a reduction in compensation weakens the communicative force of the "financial elite" narrative in public cognition. The former is an economic mechanism; the latter is a mechanism of social cognition. Both operate simultaneously under compensation caps, but the effectiveness of the cognitive mechanism depends on the narrative environment. Over the longer term, once compensation caps lead society to stop taking "high pay = high ability" as the default, the indirect mechanism may become stronger than the direct one. This is the same operation, concretized in the field of compensation, as the compression of the narrative leverage ratio in Chapter 8, §4. When compensation, as the economic evidence for the "market pricing" narrative, is contracted, the narrative load (ϕ) component in the narrative leverage ratio $\Omega = \phi/\|L\|$ is institutionally pushed down.

Here a precise distinction must be made. Compensation caps calibrate narrative load (ϕ), not meta-audit capacity (A). It is the narrative load on the projection side, the additional structure carried by readings that induces people to give up independent judgment. Narratives such as "financial elite," "scarcity of talent," and "market pricing" do not convey effective information about the practitioner's true ability, but they provide a legitimacy coating for high compensation and systematically suppress the motivation for external audit. The direct effect of compensation caps is to compress the space in which such narratives can inflate.

But meta-audit capacity (A), the ability of practitioners to make categorical judgments independently of narratives projected by the projection side, cannot be improved simply by restricting compensation. The core of meta-audit capacity (A) is the maintenance of an independent coordinate system: whether the practitioner can still make an independent judgment about "what this product is really worth" under pressure from industry consensus and short-term incentives. The level of compensation by itself cannot establish meta-audit capacity—what is decisive is how pay is linked to risk consequences. A highly paid fund manager may completely lose independent judgment under convex incentives; the high compensation comes from sharing in the upside, and meta-audit capacity is systematically abandoned by the incentive structure. By contrast, a fund manager whose compensation is capped but whose assessment cycle is lengthened and whose clawback risk is intensified may instead recover part of independent judgment, not because "being poorer makes one more cautious," but because the incentive structure has been redesigned so that the manager can no longer profit from ignoring tail risk.

The proposition that "compensation level is not the determinant of meta-audit capacity (A)" is counterintuitive, but its argument runs through the whole book. The diagnosis in §1 points to convex incentives—rather than the level of pay—as the root cause of the systematic abandonment of meta-audit capacity; when convex incentives are not constrained by risk responsibility and independent verification, practitioners may pay less attention to tail consequences.

In the United States, discussion of compensation caps remains largely at the level of disclosure. In June 2025 the SEC held a roundtable on executive compensation disclosure, discussing the implementation effect of rules on pay-versus-performance, pay-ratio disclosure, clawback, and related matters (SEC, June 26, 2025). In January 2026, SEC Chair Atkins issued a statement directing a comprehensive review of the corporate disclosure rules (Regulation S-K); the revision of Item 402 (executive compensation disclosure) is the first step, and the staff are preparing concrete recommendations on the basis of more than 70 public comment letters (Atkins, January 13, 2026). Disclosure rather than prohibition: this is the core logic of the U.S. path. SEC Commissioner Crenshaw emphasized in the written remarks she prepared for the roundtable that disclosure of executive compensation is

a basic right of shareholders (Crenshaw, 2025).

The U.S. institutions compared here rely more on combinations of disclosure and market constraint; the Chinese measures listed here more often directly specify payment proportions, durations, or caps. In fiber language, the logic of the former is "let all participants see how large the fiber is," while the logic of the latter is to cap the scale of payment directly—what it compresses is the narrative space in which extreme pay endorses ability, and it does not automatically improve what a pay reading reveals about ability or risk. Each logic has its own limitation. Information disclosure cannot stop market behavior once the fiber has already inflated, while administrative compensation caps also cannot eliminate the fiber itself.

The cost of compensation caps must be marked within the framework. The direct cost of administrative caps is distortion of the market-pricing mechanism. If the compensation ceiling for central financial SOEs falls significantly below market level, talent may flow toward unconstrained institutions, private equity, foreign institutions, or technology firms. More subtle is the structural cost: capping fixed salary raises the relative share of other pay components; whether these strengthen convex incentives depends on their specific payoff functions, assessment horizons, and loss-adjustment mechanisms, and cannot be inferred from the share alone. While compensation caps compress the scale of narrative load (ϕ), they may structurally reinforce convex incentives. This is a side effect of the institution that requires continuous monitoring. The presence of deferred payment and clawback mechanisms can partially offset it, but cannot eliminate it completely.

§4 Revolving-Door Regulation: Cutting Off the Channel of Interest Transfer to Auditors

The revolving door is the institutional operation on the question "who audits the clock-setter?" Its core mechanism is this: potential post-employment gains may change a regulator's incentives while in office, creating a conflict-of-interest risk; whether that risk manifests as enforcement leniency depends on career-reward mechanisms and specific institutional constraints (see the complex evidence from deHaan et al. below).

§4.1 China: From Extended Prohibition Periods to Expanded Scope of Review

In the Fiber Framework, the revolving door simultaneously involves the control of mapping and audit rights, the career incentives of auditors, and the institutional conditions under which independent calibration can be sustained. The mapping-chain structure (L0) provides the observational facet of control rights, but it cannot exhaust the revolving-door problem. As the institutional carrier of meta-audit capacity (A), the independence of the regulator is first of all independence at the level of **interest structure**: the auditor's future career path cannot depend on the grace of the audited object. Regulation of the revolving door by the China Securities Regulatory Commission has evolved from guidance-based rules to departmental regulations. In 2021 the CSRC issued the *Regulatory Guidance on Application—Issuance Category No. 2*, requiring intermediary institutions to conduct look-through investigation into shareholders who are former employees, and to strictly clean up any improper equity holdings.

In September 2024 the CSRC issued the *Interim Provisions on Regulating Equity Stakes in Companies Proposed for Listing by Departed Personnel of the CSRC System*. On top of the existing system, the regulation added three categories of provisions:

First, **lengthened and tiered prohibition periods on taking equity stakes**. Article 8 of the *Guidance No. 2* (2021) distinguished only two tiers: 3 years after departure for division-level (middle-level) and above, and

2 years for other departed personnel, with no dedicated tier for issuance-review positions or CSRC-managed cadres. Article 9 of the *Interim Provisions* tightens this into three tiers: issuance-review positions and CSRC-managed cadres are placed in a dedicated tier with the period extended to 10 years after departure (previously covered by the 3-year tier for division-level and above, hence the largest extension); division-level (middle-level) and above is extended from 3 to 5 years; below division-level from 2 to 4 years.

Second, **expanding the scope of strict supervision**. The scope of review is expanded from departed personnel themselves to their parents, spouses, children, and children's spouses, closing the evasive path of holding through relatives.

Third, **raising due-diligence requirements**. Intermediary institutions must conduct sufficient review of the investment background of departed personnel, the source of funds, price fairness, and the authenticity of cleanup. The CSRC then rechecks and reviews the relevant work.

In addition, the CSRC strengthened cooperation with disciplinary inspection and supervisory departments. Any clues of violations of law or discipline are resolutely transferred to the relevant authorities for handling.

In fiber language, revolving-door restrictions cut off the channel of interest transfer from the "monopolist of the mapping function" to the "user of the mapping function." Monopoly over the mapping function, Chapter 6, refers to the concentration of power over the rules that convert the real into the reading. These rules restrict the exploitation of former official positions through specific equity-investment channels, but do not warrant the inference that departed personnel may not take positions in any regulated firm; the institutional foundation of audit independence is reinforced on this specific channel.

§4.2 United States: The Revolving Door as a Normal Career Path

The revolving-door phenomenon is especially prominent in U.S. finance. As early as 2009, the OECD's report pointed out that many of the regulatory changes now blamed for contributing to the crisis were put in place following concerted lobbying campaigns by the financial industry, and that the connections between industry and regulators were most intense in Switzerland, the UK, and the US—though the precise role of the revolving door was not yet clear. A BIS working paper by Levine (2010) raised similar concerns. Reflecting on lessons of regulatory reform after the 2008 crisis, Levine states plainly that in capitals around the world lobbyists shape legislation, while the revolving door between industry and regulatory agencies spins at high speed. There may be good reasons to enlist highly skilled people with private-sector experience to help regulate finance, but the concern over conflicts of interest is equally compelling (Levine, 2010 BIS WP 329).

A 2025 report points out that Wall Street's revolving door has brought more private-equity appointees than ever before into the Trump administration. The new leadership positions of these executives create conflicts of interest, allowing them to steer government actions and regulatory decisions in ways that may benefit their own firms or industry allies (Americans for Financial Reform, May 16, 2025).

Former Federal Reserve Chair Ben Bernanke, after leaving office in 2014, was hired by hedge fund Citadel as a senior adviser (CNBC, April 16, 2015). Former SEC Enforcement Director Robert Khuzami left in 2013 and only six months later joined Kirkland & Ellis, where he specialized in securities-enforcement defense (*Reuters*, July 24, 2013). The 2014 Carmen Segarra recordings scandal publicly exposed the regulatory leniency of the New York Fed toward Goldman Sachs: the former Fed bank examiner, after being dismissed, released 46 hours of internal recordings showing the consensus-seeking style of senior managers; Columbia Professor David Beim,

in his 2009 review of the New York Fed, had noted that this style sometimes softened the Fed's enforcement (*ProPublica*, November 17, 2014).

The United States is not without revolving-door restrictions. SEC officials are subject to "cooling-off" periods after leaving office, but these periods are far shorter than in China, typically 1-2 years, and do not cover relatives. More importantly, the U.S. revolving door has formed a persistent cross-sector career channel: public service is regarded as capital accumulated on the resume, after which one turns to the private sector to "monetize value."

Shive & Forster (2017), in a systematic study of the six major U.S. financial regulators, confirm this pattern: from 2001 to 2015, the average number of executives with regulatory experience per listed financial firm rose by 24%. Kalmenovitz, Vij & Xiao (2025), using payroll records accumulated over two decades on 2.4 million federal employees (nearly 22 million employee-by-year observations), further reveal that across the 41 federal agencies exhibiting statistically significant salary bunching (including the SEC), on average about 42% of personnel respond strategically to post-departure employment restrictions: they would rather accept an average annual pay cut of $6,402, roughly 6.3% of the average salary at their agency, in order to remain just below the salary threshold that triggers post-departure employment restrictions. This means that the revolving door is not a marginal phenomenon—within the agencies exhibiting significant bunching it constitutes a systemic incentive shaping the pay choices of a sizable share of personnel, but it cannot be extrapolated to nearly half of all regulatory personnel.

deHaan, Kedia, Koh & Rajgopal (2015), in a study of SEC civil enforcement cases from 1990 to 2007, reveal the complexity of how the revolving door affects enforcement: their overall evidence supports the "human capital" hypothesis—lawyers who expect to enter the private sector are, while still at the SEC, actually more aggressive in enforcement in order to accumulate and demonstrate expertise (pursuing higher monetary penalties, being more likely to refer cases to the Department of Justice for criminal prosecution, and being more likely to bring individual charges against CEOs); only among departing lawyers who join SEC-specialist law firms—specifically, those based in Washington, D.C., and those joining firms staffed by a large number of SEC alumni—does the enforcement laxity predicted by the "rent-seeking" hypothesis appear, and it is observed for only some case outcomes. This complexity echoes the findings of Lucca et al. below: the revolving door does not necessarily manifest as direct enforcement leniency, but the personal networks and cognitive assimilation between regulators and the regulated continue to occur.

From empirical evidence to theoretical framework: the empirical studies above reveal the scale and mechanism of the revolving door, but a theoretical framework is needed to explain why the revolving door becomes institutional routine in the United States rather than an occasional anomaly. LaPira & Thomas (2017) propose a transaction-cost model of "lobbying as political insurance." On this view, regulated industries hire former regulators not to "purchase policy influence" in an influence-production function, but to consume a "risk-minimizing transaction." In this framework, the premium on former SEC officials derives from two scarce assets: **strategic process knowledge**, knowledge of the internal process of regulatory decision-making, which is used to hedge uncertainty in political process; and **substantive expertise in specific policy domains**, which helps in handling uncertainty about policy implications and scope of application.

LaPira, Drutman & Kosar (2020) further argue systematically from the supply side that the macro cause of the revolving-door premium lies in the **decline in congressional capacity** since the 1980s. Staff size has shrunk, tenure has shortened, and professional expertise has been systematically outsourced to K Street lobbying firms

and the executive branch. This structural decline may increase the legislative process's dependence on outside expertise, supplying an explanation for the revolving-door premium; whether and how it affects the professional reserves of administrative regulators such as the SEC must be examined separately. The empirical study by Santos (2006) shows that the career paths of former members of Congress are systematically related to their legislative behavior in the final phase of their terms, providing corroborating evidence for the "reward future employers" hypothesis.

In fiber language, the internal anchors on which the legitimacy base ($\|L\|$) of the U.S. regulatory system depends, consensus among market participants, are themselves eroded by the decline of legislative capacity. This is the micro-macro dual aspect of the same structural proposition that §6.2 will later formulate as the "absence of an independent calibration source."

The opposite perspective on the revolving-door mechanism should be marked. Lucca, Seru & Trebbi (2014), using data on employee mobility at U.S. bank regulators, find that net flows from regulators into the private sector are strongly countercyclical: net inflow into regulation during crises and net outflow during booms. This pattern fits the "regulatory schooling" hypothesis, private employers value regulatory experience, better than the simple quid-pro-quo hypothesis. The regulatory-schooling explanation shows that cross-sector mobility may also reflect the market value of professional expertise, which weakens any blanket reading of the revolving door as an exchange of favors; cognitive convergence is not thereby ruled out, but it requires independent evidence and cannot be inferred from the mobility itself.

The two countries' rules restrict different activities. The Chinese rules cited here set tiered prohibition periods on equity stakes in companies applying for listing and bring close relatives into strict review; U.S. rules, beyond short cooling-off periods, also include permanent restrictions on representation and intent-to-influence communication concerning specific matters in which the departed official was personally and substantially involved and in which the United States is a party or has a direct and substantial interest. Summarizing the two systems as "prohibition" versus "disclosure" obscures these layers—the former directly cuts off a specific equity channel, the latter leaves most mobility visible while imposing permanent limits on specific matters.

In January 2026, Law.com reported the latest dynamics of the SEC revolving door: partners from Blank Rome and Jones Day entered the SEC enforcement division in leadership roles, while multiple SEC lawyers left to join major law firms such as Dechert, Jones Day, and Fenwick & West. This "two-way flow" is the typical manifestation of the revolving door as an institutionalized career path: public service is treated as resume capital, after which one turns to the private sector to "realize value." More importantly, the SEC enforcement division underwent leadership turnover in 2025. New SEC Chair Paul Atkins was sworn in in April 2025, and personnel adjustments in the enforcement division continued throughout the year. When a smooth revolving-door channel exists between the leadership of the regulatory agency and the regulated industry, the resulting career incentives may weaken regulatory independence.

§5 Execution Differences: The Rupture Between Institutional Framework and Implementation Effect

The difference between China and the United States in compensation systems and revolving-door regulation lies not only in institutional design, but even more importantly in **execution**.

§5.1 Continuity of Execution: China's "Continuous Tightening" vs. America's "Political Swing"

Chinese financial regulation follows a clear trajectory of unilateral tightening. The 2010 CBRC guidelines -> the 2021 refinement of the clawback mechanism -> the 2022 Ministry of Finance notice, extension across the industry and explicit coverage of departed and retired personnel -> the 2022 first SAC guidelines -> the 2024 public-fund pay-cap reports, industry practice rather than written regulation -> the 2025 cap on central financial enterprises, 1 million yuan -> the 2026 revised SAC guidelines, T+2 deferral and the securities industry's reaffirmation of clawback for departed and retired personnel. Within the compensation deferral, clawback, and departed-personnel shareholding rules listed here, the main direction of change has been the tightening of requirements and constraints.

In contrast, the execution of compensation regulation in the United States is constrained by the political cycle. Dodd-Frank wrote Section 956 into law in 2010 -> the joint rule re-proposed in 2016 as a second version of the 2011 proposal -> shelved in 2017 -> revived in 2024 -> potentially shelved again by a future administration. The fate of climate-disclosure rules provides a mirror image: the Biden administration finalized the climate-disclosure rule in 2024 (SEC, March 28, 2024); in 2025 the Trump administration's SEC immediately abandoned defense of that rule in court (SEC, March 27, 2025); the Eighth Circuit directed the SEC to advise whether it intends to review or reconsider the rule; and in 2026 the SEC went further and proposed rescinding the climate-related disclosure rules (SEC, May 29, 2026).

Compensation regulation and climate disclosure may appear unrelated, but they share the same structural feature: in the United States the direction of financial regulation depends heavily on the political stance of the ruling party. When parties alternate in power, regulatory direction can reverse by 180 degrees. The direction of financial regulation in China does not swing with the political cycle. This is one of the most fundamental differences between the financial governance paradigms of the two countries.

Regulatory data from the audit industry provide a supplementary observation outside compensation regulation. A report by the Brattle Group (February 26, 2026) shows that in 2025 the SEC and the Public Company Accounting Oversight Board (PCAOB) together initiated 39 audit-enforcement actions, of which the PCAOB accounted for 95% (37 actions) and the SEC only two, while total monetary penalties fell 66% from 2024 to $17.9 million. Cornerstone Research's (2026) *PCAOB Enforcement Activity 2025 Year in Review* further notes that the PCAOB's own enforcement actions fell 27% in 2025 (from 51 to 37 actions), the lowest level since 2021. In the same period, the PCAOB postponed the effective date of its new quality-control standard (QC 1000) from December 15, 2025 to December 15, 2026; its stated reason is that some registered firms have encountered implementation challenges and need sufficient time to design and implement QC 1000-compliant quality-control systems (PCAOB, August 28, 2025). The delay points in the same direction as the enforcement data, but the reason itself is an implementation-cost consideration and cannot be attributed to a policy turn alone. These data jointly point to the same structural feature: U.S. financial regulation, whether in compensation, climate disclosure, or auditing, is constrained by the political cycle, and regulatory intensity fluctuates sharply with changes in the ruling party.

§5.2 Depth of Execution: From "Whether It Exists" to "How Well It Works"

Execution of China's compensation system has already advanced from the stage of "whether there is a system" to the stage of "quality of execution." In 2025, the total amount of clawback disclosed by 12 listed banks

reached nearly 100 million yuan. Industry experts point out that the amount of recoupment is closely related to bank asset size, business complexity, and the degree of historical risk exposure. It is not surprising that large state-owned banks show relatively large amounts of recoupment. A small recoupment amount at some city commercial banks does not necessarily mean better risk control; it may simply mean that problems have not yet fully surfaced or that accountability mechanisms are still being gradually improved. More than 95% of institutions have formulated and implemented deferred payment and clawback systems (China Banking and Insurance Regulatory Commission, March 24, 2023). The real test has shifted from "whether there is one" to "how good it is" and "whether it is fair."

Section 956, the cross-agency uniform rule, has long remained in a cycle of proposal and revival—from statutory text to actual implementation it has spanned the Obama, Trump, and Biden administrations and extends into Trump's second term, and is still not fully in force; other U.S. pay rules (the performance-fee restrictions, the financial-restatement clawback) each have their own effective institutional lines.

§5.3 Connection with the Basic Logic of Financial Regulation

Behind the execution gap between China and the United States lie two different financial regulatory philosophies. Chinese financial regulation takes risk control as its anchor. Since the establishment of the Shanghai and Shenzhen stock exchanges in the 1990s, it has experienced limited swings of "loosening and tightening," but never the American-style political swing of "deregulation." U.S. regulation, by contrast, takes market efficiency as its anchor, with information disclosure as its main tool, and regulatory intensity fluctuates sharply with the political cycle.

This philosophical difference became especially visible after the 2008 financial crisis, and both countries strengthened parts of their financial regulation after the crisis, though what they reflected on and how policy persisted differed. The United States reflected on insufficient regulation and introduced Dodd-Frank, but then swung with the political cycle. China reflected on the excessive credit expansion after the 2009 "4 trillion yuan stimulus," and that reflection eventually led to the tightening represented by the 2018 New Asset Management Regulations. The 2018 New Asset Management Regulations and the 2025 draft revision of the *Banking Supervision and Administration Law*, submitted for deliberation, propose to write "look-through supervision" into law (extending the objects of supervision from banking institutions to major shareholders and actual controllers, and requiring layered disclosure of equity structures up to the actual controller). The direction has consistently been "tightening," not "loosening."

The FSB's 2024 report provides international-comparative background for this difference. The report notes that there is "complexity and variability" across member jurisdictions in implementing compensation tools. It further points out that clawback provisions in both the United States and Europe are generally difficult to enforce and often become bogged down in protracted legal disputes. Cultural and legal obstacles make implementation of clawback much harder than deferred compensation (FSB, 2024). Australia's APRA has adopted longer deferral periods—raising the minimum for CEOs of significant banks from four to six years, and to five years for senior managers and executive directors other than the CEO—while phasing deferral and recoupment requirements into all regulated entities. This chapter's explanation is that jurisdictions lagging in implementation may be those with fragmented regulatory architecture and strong industry lobbying—an inference of this chapter that must be distinguished from the report's descriptive findings. This international comparison suggests that the stagnation of U.S. compensation regulation is not a universal phenomenon caused by the generic difficulty of regulating a

complex financial system, but the product of its specific institutional structure, fragmented regulation, powerful industry lobbying, and political-cycle swing.

In fiber language, China's legitimacy base ($\|L\|$) is relatively stable, and institutions can continue to support independent verification and correction. The legitimacy base of the United States fluctuates sharply with the political cycle, and the maintenance of meta-audit capacity depends on whether it can be restored after each round of political swing.

§6 Insights from the Comparative Analysis: Why China's Institutional Path Is Different

Based on the foregoing comparison of institutional design and implementation, three core insights can be extracted. Before entering the specific insights, one premise must be marked: the "starting lines" of the two countries are entirely different. The United States is struggling within an institutional environment that is already highly financialized, in which industry lobbying power is extremely strong and regulatory architecture is fragmented. China is advancing within an environment of relatively lower financialization, concentrated administrative power, and the absence of a comparably strong countervailing force from financial-industry lobbying. The "tightening" and "swinging" of the two countries are not symmetric options, but are deeply constrained by their respective institutional structures. The "continuous tightening" of the Chinese path does not begin from the same starting line as the American path.

§6.1 Difference in Institutional Logic: Preventive Tight Control vs. Crisis-Driven Tightening

China's compensation system and revolving-door regulation display two features. First, **rapid crisis response**: after the 2015 stock-market crash, the New Asset Management Regulations were introduced within three years, in 2018. The window from crisis to institutional landing was far shorter than in the United States, where Dodd-Frank Section 956 still had not landed by 2024 despite having been enacted in 2010. Second, **active tightening even in stable periods**—where "preventive" here means that the rules seek to adjust incentives and responsibilities before further losses materialize, not that no risk pressures existed when they were issued: in September 2024 the CSRC extended the equity-stake prohibition periods in tiers (to 10 years for issuance-review positions and CSRC-managed cadres, and to 4–5 years for other levels, see §4.1); in 2025 the compensation-cap order for central financial enterprises, a 1 million yuan cap, was introduced; and the draft revision of the *Banking Supervision and Administration Law*, submitted for deliberation in December 2025 and undergoing its second deliberation in August 2026, proposed to write look-through supervision into law (extending supervision to major shareholders and actual controllers, with layered disclosure of ownership up to the actual controller; see Articles 23 and 31 of the second-review draft). These institutions were not erected on the ruins of crisis, but advanced proactively in periods of stability. The common result of the two features is that institutional iteration follows a unidirectional tightening trajectory.[1]

[1] Preventive tightening in the field of quantitative trading follows the same trajectory, and offers a set of concrete institutional details for citation in Chapter 19, §6.3: after the 2015 stock-market crash, the CFFEX announcement of September 2, 2015 (effective September 7) imposed restrictions on stock-index futures trading: opening more than 10 contracts in a single product in one day constituted "unusually large intraday opening volume" abnormal trading (hedging exempt), the margin on non-hedging positions was raised from 30% to 40%, and the fee on same-day open-and-close trades was raised from 1.15 to 23 per 10,000 of the closing transaction amount; the CFFEX Measures on the Management of Abnormal Trading (issued 2019, revised 2020) listing frequent and large order cancellation as abnormal trading—a client whose same-day cancellations in a single stock-index futures contract reach 400 (inclusive) constitutes "frequent order cancellation" (large order cancellation: 100 cancellations with each exceeding 80% of the maximum limit-order size; hedging exempt, market making exempt from the frequent-cancellation category); the CSRC spokesperson's February 28, 2024 remarks on private-fund DMA (long-short return swap) business, making clear that regulation of DMA and other over-the-counter derivatives

Why can China tighten proactively during stable periods? One candidate explanation is institutional autonomy within China's regulatory system—an autonomy to be observed through institutional arrangements such as decision-coordination requirements, statutory veto points, channels of industry participation, and enforcement authority, not inferred solely from whether rules keep tightening. If the explanation holds, the United States, lacking this condition, is more likely to legislate briefly after crises and see the legislation gradually dismantled through lobbying in stable periods.

The institutional logic of the United States is a swing cycle of **crisis-driven tightening -> deregulation**. After the 2008 financial crisis came Dodd-Frank; during Trump's first term, 2017–2020, came partial deregulation; during the Biden years, 2021–2024, partial restoration; and during Trump's second term beginning in 2025, broad renewed deregulation. Upon taking office in April 2025, SEC Chair Paul Atkins reset the direction of enforcement and governance: in the fiscal-year 2025 enforcement results he stated, "We have redirected resources toward the types of misconduct that inflict the greatest harm—particularly fraud, market manipulation, and abuses of trust" (SEC, April 7, 2026); and in an April 2026 speech he declared that the SEC "must stay in our lane as a disclosure agency and not be a merit regulator," ensuring that "States, and not the SEC, regulate matters of corporate governance" (Atkins, April 7, 2026). Fiscal-year 2025 data show the Commission filing 456 enforcement actions, a marked decline from the 583 of fiscal year 2024 (SEC, November 22, 2024; SEC, April 7, 2026); the PCAOB's 2026 budget was cut by 9.4% (PCAOB, December 19, 2025; Thomson Reuters, 2025), and the SEC's staffing has been cut by 15% since the beginning of 2025 (Thomson Reuters, 2025). Senator Warren has publicly criticized the sharp decline in SEC enforcement activity after the new chair took office (Bloomberg Law, 2026), arguing that the SEC had failed to commit itself to its responsibilities in securities enforcement (as §2.2 shows, U.S. regulation of performance fees also took a preventive-tightening path in 1970; the swing lies not in the capacity to tighten but in the difficulty of keeping tightening alive across political cycles).

§6.2 The Existence of an Independent Calibration Source: Administrative Power vs. Market Mechanism

Within China's financial regulatory system there exists an independent calibration source absent from the American system: **administrative power does not depend on the cooperation of the regulated entities**. The relative autonomy of rulemaking does not consist in whether industry opinion is sought—China's rules likewise went through public comment—but in whether industry opposition can block the formation, enforcement, or continuation of a rule. The CSRC and the Ministry of Finance advance rules within their own authority, without needing industry consent; the look-through supervision requirement has been pushed by the regulator into the legislative-amendment process, and its formal legal force depends on the legislature's deliberation.

The U.S. financial regulatory system depends more heavily on the self-regulatory capacity of market mechanisms. SEC rulemaking must pass through lengthy public-comment procedures and is heavily affected by lobbying from the regulated industries. One reason Dodd-Frank Section 956 has failed to land is precisely the

business would be strengthened and directing the industry to control business scale and leverage (within the framework of the CSRC's May 15, 2024 *Administrative Provisions on Programmatic Trading in the Securities Market (Trial)*); and the Shanghai and Shenzhen exchanges' February 2024 suspension and trading restrictions on the quantitative private fund Ningbo Lingjun, with public censure procedures initiated (for programmatic concentrated order placement that disrupted normal trading order). Together the first three form the structural skeleton of Chinese speed-limiting regulation in quantitative trading—absolute upper bounds on order and cancellation rates, semantic definition of systematic improper trading behavior, and cross-institution monitoring of scale and leverage—with the fourth serving as an enforcement case. When these three institutional layers operate within a basically centralized market structure, typically only uniform supervision of order rate at a single venue is required; whether the same regulation would be equally effective in a fragmented multi-venue environment, such as the current U.S. market, requires separate evaluation. The fiber-dimensional analysis of that evaluation appears at the end of Chapter 19, §6.3.

lobbying power of Wall Street. When Chair Atkins explicitly stated in 2026 that the SEC should "not act as a merit regulator," that statement itself was a constraint placed on regulation by the ideology of market liberalism.

In fiber language, the legitimacy base ($\|L\|$) of China's regulatory system contains an **external anchor**: the independence of administrative power. The legitimacy base of the U.S. regulatory system depends more on an **internal anchor**: consensus among market participants. The latter is more easily eroded when the regulated entities are highly organized. But that independence has its cost: administrative power itself may be misused, through excessive intervention, suppression of financial innovation, and substitution for rather than supplementation of market mechanisms in resource allocation. The two paths make different trade-offs between "independence" and "flexibility."

§6.3 Debt Structure and the Momentum of Preventive Regulation

An important but easily overlooked difference is that the debt structures of the two countries' financial systems differ. China's financial system is dominated by indirect financing, bank lending, and systemic risk is concentrated on bank balance sheets. Once widespread bad debt appears, the shock is immediate and unavoidable. At the same time, the Chinese government also possesses emergency intervention capability that can compress the governance clock (τ_g) to an extreme degree in crisis mode—the China Securities Finance Corporation's direct market intervention during the 2015 stock-market crash being one example. "Immediate shock + emergency intervention" therefore constitute the dual structure of Chinese financial stability. The immediacy of the shock increases the incentive for preventive tightening, while emergency intervention buys time for that tightening. The U.S. financial system, with its more developed capital markets and more dispersed risk-transfer mechanisms, allows a much longer period of "chronic" risk accumulation. Subprime-mortgage risk before 2008 accumulated for years before exploding.

Comparing debt clocks requires distinguishing risk accumulation, risk confirmation, and crisis transmission; financing structure may bear differently on the three, and a country's debt clock cannot be judged shorter as a whole from bank dominance alone. In terms of the debt clock (τ_d), China's debt clock is shorter: risk exposure and transmission are faster, and the institutional response window is narrower. Chinese regulation therefore tends toward **preemptive tightening**, intervening before risk accumulation reaches the critical threshold. The United States has a longer debt clock: risk can be dispersed and delayed through securitization, derivatives, and other tools, and U.S. regulation therefore tends more toward **ex post response**, legislating after the crisis breaks out. Each strategy has its cost: the Chinese strategy may "injure" innovation and efficiency, while the American strategy may allow crisis to accumulate until intervention occurs only when the situation is close to uncontrollable.

But why does China choose "tighten in advance" rather than "frequent firefighting"? A short debt clock (τ_d) does not by itself necessarily lead to preventive tightening. Another possibility is rapid risk exposure, frequent crises, and ex post patching. One possible explanation is that the concentration of systemic risk in China's financial system is extremely high. Fifty-eight listed banks account for about 83% of the total assets of commercial banks (EY, 2025); large commercial banks hold 43.9% of the total assets of banking institutions (National Financial Regulatory Administration, 2025). Asset shares indicate systemic importance but do not directly measure risk correlation or transmission speed. Once widespread bad debt appears, the cost of rescue is enormous and the political cost immense. In fiber language, corporate default first creates a loss on bank assets; where loss-absorption mechanisms are insufficient and risk spillovers trigger public intervention, it may further develop into

fiscal and sovereign-credit pressure. The conditional explanation this chapter offers is that the more concentrated the losses the public sector expects to bear, and the smaller the post-crisis room for adjustment, the more inclined the regulator is to constrain risk in advance—a mechanism that does not depend on a definite ranking of the two countries' crisis tolerance.

The three propositions concern institutional conditions, regulatory motives, and policy performance, respectively. Insight 6.2, the independent calibration source, is an important institutional condition for insight 6.1, preventive strict control—stronger regulatory autonomy and lower coordination costs help advance binding rules before a crisis, but they are not the only institutional condition for preventive regulation (the U.S. performance-fee tightening of 1970 is a counterexample). Insight 6.3, the constraint of the debt clock, is the **source of motivation** for insight 6.1. A short debt clock (τ_d) means rapid risk exposure and a narrow window for ex post remedy, and therefore advance intervention is necessary. Together the three constitute the structural character of Chinese financial regulation: independent administrative power, the institutional premise, plus short debt clock and high concentration, the source of motivation, yields preventive strict control, the behavioral pattern. The U.S. structure is exactly the reverse: regulatory authority dependent on consensus among the regulated entities, plus a long debt clock and dispersed risk, yields crisis-driven regulation.

It should be noted that the causal inference above is an inference within the framework based on institutional observation and financial structural characteristics, C-level, rather than on quantitative modeling or counterfactual analysis. Other possible explanations include differences in political system, unitary versus federal, differences in legal tradition, civil-law versus common-law, and differences in stage of financial development, catch-up versus mature. The value of the Fiber Framework lies not in excluding other explanations, but in providing a unified diagnostic language. Whichever explanation is correct, the "existence of an independent calibration source" and the "constraint of the debt clock" are structural variables that can be compared across countries.

§7 The Boundary of Calibration

Compensation systems and revolving-door regulation are institutional operations for maintaining meta-audit capacity (A), but they cannot solve every problem.

Building on the diagnosis of Chapter 17, this chapter has focused on the two core institutional tools of meta-audit, compensation systems and revolving-door regulation, and systematically compared the two institutional paths of China and the United States.

First level: can compensation systems lengthen the decision-maker's time dimension so that it matches the window of risk exposure? China's answer is "yes, and along a single direction of continuous tightening" (see the institutional timeline in §2.1 and §5.1); the U.S. answer is "in theory yes, in practice constrained by the political cycle"—Section 956 remains not fully implemented to this day.

Second level: can revolving-door regulation cut off the channel of interest transfer from "regulator -> regulated entity"? China's answer is to restrict the specific equity channel directly through tiered prohibition periods and strict review of close relatives (see §4.1); the U.S. answer is disclosure as the main instrument, supplemented by permanent restrictions on specific matters, leaving most mobility visible (see §4.2).

Below, the boundary of institutional-level calibration is unfolded from three dimensions.

§7.1 The Necessity but Insufficiency of Meta-Audit at the Institutional Level

Deferred compensation first changes the temporal arrangement under which the decision-maker bears consequences; the terms alone cannot reveal the quality of underlying assets. Without new investigation or independent verification, the evaluator does not automatically gain more knowledge because pay is postponed; but if deferral prompts such verification to occur, or effectively constrains risks not covered by the performance basis, the actual information conditions and risk-taking may change. Institutional arrangements cannot replace audit, but they can change the conditions under which audit occurs and whether its results affect compensation.

Berk & Green (2004) show that under specific conditions of skill heterogeneity, decreasing returns to scale, and fund flows, a manager's skill does not guarantee investors a sustained expected excess return net of fees—this limits the inference that "having skill necessarily beats the market," but it is not a universal ceiling for all compensation designs and real markets. What this chapter is concerned with is the risk and cost that incentive imbalance **adds**; that is a different kind of loss from the rent extraction unavoidable under equilibrium, and their relative magnitude must be judged from specific contracts and behavioral evidence. Stambaugh (2019) further reveals the paradox: when enough managers become more skilled at the same time, the expected profit of the individual manager falls instead—greater skill allows managers to identify profit opportunities more accurately, but active management in aggregate corrects prices more fully, shrinking the profits those opportunities offer; in the equilibrium in which investors' net excess returns are zero, this means that the industry's total fee revenue declines as skill rises.

Robinson & Sensoy (2013) find a more complex picture in private equity: higher fees and lower managerial ownership do not correspond to worse net-of-fee performance—high-fee funds earn back their fees through sufficiently higher gross returns; distributions around contractual fee triggers display agency conflict. Fee levels alone do not establish incentive imbalance; contract structure and specific conduct must still be examined.

This judgment rests on a deeper empirical foundation. Fama & French (2010), in the *Journal of Finance*, used bootstrap simulation on thousands of U.S. equity mutual funds from 1984 to 2006 and found that only a very small minority—those in the 98th and 99th percentiles under the four-factor test—have enough skill to cover costs (positive expected benchmark-adjusted net returns); the performance of the vast majority can be explained purely by luck. Barras, Scaillet & Wermers (2010), applying the false-discovery-rate (FDR) method developed by Benjamini & Hochberg (1995) to fund-performance evaluation, quantify the point further: from 1975 to 2006, 75% of funds exhibit zero alpha (net of fees), 24% are negative, and only 0.6% retain a genuinely positive alpha after costs (a proportion statistically indistinguishable from zero)—the managers of zero-alpha funds are not without stock-picking ability; the rents generated by that ability are extracted through fees (Barras et al., 2010). In the Fiber Framework, the reading "five-star fund manager" has an extremely large fiber: for example, a multi-year top ranking alone cannot rule out exposure to a market style or hidden tail risk—this is an illustrative application of Proposition 1 in Chapter 4, not a proposition directly tested by the studies above. Deferral and clawback cannot remove the statistical difficulty of distinguishing luck from skill, but they can lengthen the observation and responsibility horizon.

Revolving-door restrictions cut off the **channel of interest transfer**, but they cannot eliminate **cultural convergence**. Regulators and the regulated may still share the same cognitive framework. In China this appears as regulatory lag behind market "innovation"; in the United States it appears as high alignment between the SEC's deregulatory agenda and Wall Street interests.

Meta-audit at the institutional level is necessary but not sufficient. The ultimate guarantee of calibration must still return to the core judgment of Chapter 1 (under the conditions of a complete absence of continuous, external calibration, a set of mapped readings does not by itself guarantee the presence of verifiable information about the object being mapped): preserve an external reference independent of the clock system. Compensation systems and revolving-door regulation protect the auditor's incentives and independence, but they cannot replace the act of audit itself.

§7.2 The Second-Order Effect of Compensation Caps: Government as an Endorser of the Rationality of Narrative Load

There is a second-order effect here that must be faced. Compensation caps compress the space within which narrative load (ϕ) can inflate. They prevent narratives such as "financial elite" and "scarcity of talent" from continuing to be evidenced by very high pay. But when the government directly sets an upper limit for compensation in the sector, does the government itself invisibly take on the role of an "endorser of rationality"? Before compensation caps, the narrative that "compensation is reasonable" was jointly maintained by market discourse and self-description from practitioners. After compensation caps, if the public gradually defaults to handing over judgment on "whether compensation is reasonable" to the government, then the very institution that compresses narrative load, the government, may through the same institutional operation become a new source of narrative load: a new narrative load, "compensation is reasonable because the government has set it." This is not a negation of the diagnosis of compensation caps, but a further refinement of the diagnosis itself. It also resonates with the diagnosis of ideological apparatuses in Chapter 20, where the argument is that the Efficient Market Hypothesis (EMH) and shareholder value maximization (SVO) become institutionalized. Here the point is that even benevolent calibration may unintentionally generate new institutionalized narratives. It should be marked that this subsection remains primarily a qualitative argument at the current stage. The mechanism of the second-order effect is logically coherent, the institution that compresses narrative load may through the same operation become a new source of narrative load, but its empirical validity depends on future testing.

§7.3 The Multi-Level Nature of Calibration

Compensation systems and revolving-door regulation are calibration at the **institutional level**. They protect the auditor's incentives and independence, but cannot substitute for calibration at the **cognitive level**, whether the auditor is able to identify fiber inflation, or at the **technical level**, whether there are tools capable of penetrating the mapping chain. The institutional level solves the question "does the clock-setter have the incentive and independence to calibrate?" The cognitive level solves the question "can the clock-setter actually see the deviation?" The technical level solves the question "are there tools that can shorten the verification window?" This chapter focuses on the institutional level because payment terms, responsibility scopes, and conflict-of-interest restrictions can be adjusted relatively quickly through explicit rules. Calibration at the cognitive and technical levels depends more on long-term accumulation and is harder to achieve through legislation alone. Institution, cognition, and technology are three aspects of calibration work; they do not correspond to three layer numbers of the five-layer financial diagnosis, and the three can support one another or fail separately.

§7.4 Integrated Summary: Who Calibrates the Clock-Setter

Taking the three dimensions together, compensation systems and revolving-door regulation constitute **the institutional-level defense of meta-audit**: the former maintains the link of responsibility between the decision-maker and the consequences of risk, the latter protects the independence of the auditor. Neither can automatically provide reliable readings, but both can improve the conditions under which independent verification and correction become possible. The Chinese rules listed in this chapter display a pronounced pattern of continuous refinement, while the trajectory of Section 956 displays the resistance created by cross-agency coordination and policy reversals; these differences may affect the stability of risk-responsibility arrangements, but rule continuity does not by itself prove the effectiveness of risk governance. The principal risk of the Chinese path lies in whether administrative constraints are proportionate and enforcement is fair; the principal risk of the American path lies in whether a common rule can be formed and survive across political cycles.

The deeper difference between the two paths lies in their different answers to the question "who calibrates the clock-setter"[2]. China's answer is "independent administrative power": the calibrator does not depend on the cooperation of the entity being calibrated. The U.S. answer is "the market, disclosure, and periodic political turnover": the legitimacy of the calibrator comes from the consensus of the entity being calibrated. The Fiber Framework cannot adjudicate which answer is superior. But it can help determine under what conditions each answer is more likely to fail: when the regulated entities are highly organized and lobbying power is strong, the consensus-dependent path is more easily eroded; when administrative power itself lacks checks, the cost of independence may be excessive intervention and the loss of market vitality.

Finally, one point must be made explicit: the comparative analysis of this chapter does not constitute a value ranking of the two institutional paths. "Structural advantage" refers to institutional effectiveness under a particular target, such as maintaining the stability of the legitimacy base, and not to an overall judgment of "better" or "worse." The Chinese path's emphasis on risk prevention may come at the cost of execution cost and market flexibility; the American path tolerates higher systemic risk and may perform better in periods when efficiency is prioritized, though this "efficiency" is itself constrained by the fact of political-cycle swing: it is volatile and intermittent, and differs from sustained efficiency under stable institutional conditions. This chapter does not take on the burden of proving the causal proposition of "stronger financial innovation capacity." The task of the Fiber Framework is to diagnose structural differences and their consequences, not to decide which path is "better."

This chapter has discussed institutional-level calibration around compensation incentives and audit independence. The former mainly addresses the return-risk asymmetry between practitioners and institutions; the latter is a condition for auditing the relevant allocation and decision processes. The distribution of fees between institutions and investors has entered the discussion in §1; the deformation of the intermediary chain, cross-market transmission, and their narrative conditions connect to Chapters 17, 19, and 20 respectively; the socialization of losses and its intertemporal governance are developed in the financial-history cases of Chapter 22. This division of labor does not mechanically pair the two governance instruments with the four problems.

[2]This is the way the Fiber Framework formulates the question. Other analytical frameworks may pose different questions regarding the same institutional difference. Political economy might ask "who controls agenda-setting power"; institutional economics might ask "what is the incentive structure of the regulator." The Fiber Framework does not claim this is the only correct question. It argues that this question captures the impact of compensation systems on the epistemic function of the financial system, calibrating the clocks, a question that traditional institutional analysis does not usually press.

Evidence ranking of this chapter: Chinese compensation regulation is supported by public regulations (2010/2021/2022/2025/2026), implementation data (2025 annual-report recoupment data), and industry-practice information (the 2024 public-fund pay-cap reports), the first two being A-level first-hand evidence; judicial practice is supported by the practical study of King & Wood Mallesons (2025), also A-level first-hand evidence. The texts of rule proposals from the U.S. SEC/OCC/FDIC, the comment letter from industry associations (BPI/ABA/FSF/SIFMA 2024), the SEC 2025 spring regulatory agenda, which removed Section 956 from the short-term agenda, and Gibson Dunn's 2025 analysis of the regulatory agenda are A-level first-hand evidence. The Brattle Group's 2026 annual report on PCAOB/SEC audit enforcement is A-level first-hand data. Revolving-door regulation is supported by CSRC documents and public judicial cases in China, A-level, and by Law.com's 2026 reporting on SEC personnel flows, A-level. International comparison is supported by the FSB's 2024 report *Legal and Regulatory Challenges to the Use of Compensation Tools*, A-level first-hand assessment. The new academic materials of Cadman, Campbell & Johnson (2024) on the state dependence of convex compensation and the CAP (2026) CEO compensation analysis are A/B-level. The comparative analysis of the two countries is B-level secondary synthesis; causal inference is C-level inference within the framework. The asymmetry of materials is marked in §0.

Terminology Correspondence Table

The correspondences between the diagnostic objects of compensation systems and revolving-door regulation in this chapter and the core concepts of the Fiber Framework and the MCAF are as follows:

Diagnostic object in Chapter 18	Correspondence in the Fiber Framework	Correspondence in the MCAF
Current-period performance reading compatible with different risk states	Inflation of the fiber ($\pi^{-1}(r)$)—the fiber is already huge at the first step of the mapping chain	Accumulation of D_c^{shadow} (shadow debt)—hidden tail risk under the same profit reading is not recorded
Convex compensation structure (share gains, do not bear losses)	Optimization dynamics (L1)—current upside gains are rewarded, while risk consequences not adequately incorporated must be made up by other constraints	Inflation of ϕ (narrative load)—the narrative coating of "market pricing," "scarcity of talent," and so on
Profits, rankings, and risk readings acquiring excessive probative force	Pseudo-calibration (L2)—limited evidence leads recipients to believe that key uncertainties have already been ruled out	$D_c^{obs} \ll D_c^{true}$ (observable cognitive debt is far smaller than true cognitive debt)

Diagnostic object in Chapter 18	Correspondence in the Fiber Framework	Correspondence in the MCAF
Self-reference of risk models (institution A -> institution B -> institution C)	Recursive-closure diagnosis (L3; i.e., the multi-mapping recursion of §1.4; for the correspondence between the layer name used in the financial part and the mechanism term, see Chapter 17, §0)—examines the relation between independent information and the recursion of readings	May reinforce propagation feedback, not directly equivalent to an increase in the Λ (media conductivity coefficient) parameter
Deferred compensation and clawback	Institutional-level calibration—extends the link of responsibility between remuneration and risk consequences, but does not automatically provide information about underlying assets	Whether it matches τ_d (the debt clock) must be tested by business
Revolving-door restrictions	Restricts specific conflict-of-interest channels, supporting the institutional independence of meta-audit capacity (A)	The effect on $\|L\|$ (the legitimacy base) cannot be taken as established
Compensation caps	Alters payment constraints, without automatically improving risk identification	May weaken high-pay-endorsement narratives, compressing the space within which ϕ (narrative load) can inflate
Independent calibration source (administrative power vs. market consensus)	Independence of the calibration source—the foundation of institutional-level meta-audit	The relation to the stability of $\|L\|$ (the legitimacy base) must be tested by level and period (see §5.3, §6.3)

Table footnote: the use of $\|L\|$ (legitimacy base) in this table adopts the **broad definition** of Chapter 3, namely the overall stability of the legitimacy base, and does not unfold the two orthogonal sets of dimensions defined in Chapter 3, §2.6—the hierarchical dimension (macro $\|L_{macro}\|$, meso $\|L_{meso}\|$, micro $\|L_{micro}\|$, aggregated by min to take the shortest board) and the typological dimension (performance legitimacy L_{perf}, ideological legitimacy L_{ideo}, procedural legitimacy L_{proc}; Zhao, 2016). Here the correspondence is tabular only.

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